

NEW FLIGHT PLAN

What Udan achieved, where it fell short, and how the revamped scheme aims to fix it

THE UDAN INITIATIVE

- Launched in **2016** to connect smaller towns and make air travel affordable
- Aerodrome development backed by a fixed ₹**5,500 cr.** budget since 2017
- Operationalised **663 routes** across 95 airports, heliports, water aerodromes, including 55 abandoned airstrips
- By FY26-end, ₹**4,600 cr.** disbursed as viability gap funding (VGF) to airlines to offset losses from capped fares

WHY THE DREAM SOURED

- Airlines selected aerodromes from an approved list before supporting infrastructure was in place
- Government support largely ended after construction, leaving operators to bear operation and maintenance (O&M) costs
- Many routes remained commercially unviable after the three-year VGF period ended, prompting airlines to withdraw
- Fifteen airports opened or revived under Udan, including Shimla, Ludhiana, Rourkela, are no longer operational

BLUEPRINT FOR CHANGE

- **Higher investment:** ₹28,840 cr. outlay (FY27-FY36), including inflation-adjusted ₹12,159 cr. to develop 100 airports, ₹3,661 cr. for 200 helipads in hilly, island regions
- **Infrastructure first:** Airports will be developed before routes are awarded
- **Longer support:** ₹10,043 cr. earmarked for VGF, extended from 3 to 5 years; ₹2,577 cr. allocated for O&M support to new aerodromes during their first 3 years
- **Better implementation:** Only airlines with air operator's permit can bid; delayed routes to be re-bid; regional flights to get viable metro slots; routes recommended by states to be included as well

ing disbursed to airlines as viability gap funding (VGF) to offset losses from capped fares, many routes never became commercially viable and airlines exited once government support ended. By the government's own admission, 15 airports opened or revived under Udan—including Shimla, Pakyong, Pathankot, Ludhiana, Azamgarh, Moradabad, Bhavnagar, Rourkela, Ambikapur, Datia and Kalaburagi—are no longer operational. The Modified Udan scheme is designed to address precisely these shortcomings through three fundamental changes: building airports before airlines are asked to fly, keeping small airports financially viable after they open, and giving regional routes longer to mature.

Airports before routes

The most fundamental shift lies in to whom, and when, public money is channelled. Under the original scheme, airlines first selected aerodromes from an approved list. Infrastructure followed demand. It sounded market-friendly, but rarely worked. For, carriers were expected to build viable networks around airstrips that lacked the infrastructure needed to support reliable operations.

The modified programme turns that sequence around. Instead of waiting for airlines to commit, the government will first identify and develop airports through what it calls a 'challenge mode', earmarking Rs 12,159 crore (inflation-adjusted), to build 100 airports on existing 'unserved' airstrips. That's about Rs 100 crore each. Under the new approach, competing proposals will be judged on the speed and quality of execution rather than simply being sanctioned and left to progress at their own pace.

Union civil aviation minister Ram Mohan Naidu tells INDIA TODAY that the modified scheme "has been conceived as an additional enabler for the connectivity of the Tier-2 and Tier-3 cities". The 'challenge mode', he says, will prioritise innovation and sustainability in addition to timely completion and quality. The assumption is that airlines are more likely to stay if the infrastructure is ready before they arrive.

Keeping small airports alive

The second major reform addresses a problem airport operators have pointed to for years—and one the original scheme largely ignored. Constructing a regional airport is a one-time investment; keeping it operational is not.

Staffing, navigation, security and maintenance costs continue whether aircraft arrive full, half-empty or not at all. Under the original Udan, government support largely stopped after construction. Once the airport opened, keeping it functional became somebody else's responsibility.

The redesigned scheme sets aside Rs 2,577 crore specifically for operations and maintenance (O&M). Airports developed under the scheme will receive annual assistance of up to Rs 3.06 crore for three years, while heliports and water aerodromes will be eligible for support of up to Rs 90 lakh annually over the same period. Around 441 aerodromes are expected to benefit. Compared with the scale of India's infrastructure spending, the allocation is modest, but it could be the difference between a small airport surviving beyond its first few years—or not.